IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH-II, CHENNAI

CA/1210/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of **Scheme of Arrangement (Demerger)**

M/s. G M S PROCESSORS PRIVATE LIMITED
CIN: U17121TZ2002PTC010320
Kiran Gardenarul Puram, Palladam Road
Tirupur Coimbatore -641605

---Applicant Company

And

Their Respective Shareholders

CORAM:

R. SUCHARITHA, MEMBER (JUDICIAL)
B. ANIL KUMAR, MEMEBR (TECHNICAL)

For Applicant(s) : *Shri. C.V Madhusudhan, Advocate*

ORDER

Per: B. ANIL KUMAR, MEMEBR (TECHNICAL)

Order Pronounced on: 04.03.2021

Under consideration is a Company Application No.1210/CAA/2019 filed under Section 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The instant application has been filed in respect of Scheme of Arrangement (Demerger) by virtue of which **M/s. G M S Processors Private Limited** (hereinafter referred to as

'**Applicant Company**') between itself. The said Scheme is also annexed as Annexure "B" in the Application.

2. The Applicant Company in this Company Application has sought for the following reliefs:

i) *For dispensing with convening, holding and conducting of the meeting of the Equity Shareholders and unsecured Creditors of* ***Applicant Company***.

ii) *For dispensing with convening, holding and conducting of the meeting of the unsecured Creditors of* ***Applicant Company***.

3. An affidavit in support of the above application is sworn in for and behalf of the Applicant Company and the same has been filed by one Govind Chandiran Karnani, in the capacity as Director of the Applicant Company and along with the application and it is also represented that the Registered office of the Applicant Company is situated within the territorial jurisdiction of this Tribunal and falling within the purview of Registrar of Companies, Chennai.

4. The Applicant Company viz., M/s. **G M S Processors Private Limited**, is a Private Limited Company, which was incorporated on 19.09.2002 under the provisions of the Companies Act, 1956. The

main object of the Applicant Company is to carry on the business of the processing of textile fabric such as dyeing, bleaching, compacting, sharing calendaring etc.

5. The Authorized Share Capital of the Applicant Company is Rs.4,00,00,000/- (Rupees Four Crore Only) divided into 40,00,000 Equity Shares of Rs.10/- each. The Issued, Subscribed and Paid-up Capital of the Applicant Company is Rs.4,00,00,000/- (Rupees Four Crore Only) divided into 40,00,000 Equity Shares of Rs.10/- each.

6. The Applicant Company has 4 (Four) Equity Shareholders as on 28.02.2019 holding 10,00,171, equity shares held in trust. The list of Equity Shareholders is placed at page 45 of the typed set, duly certified by **M/s. MSS and Co.,** Chartered Accountants filed as **Annexure-D** with the Application. The consent affidavits given by all the 4 (Four) equity shareholders and on Trustee are placed at pages 46 to 56 of the typed set filed as **Annexure-E** along with the Application, wherein it has been deposed that they do support the Scheme Arrangement and consent to dispense with convening, holding and conducting the meeting of Equity shareholders.

7. There is one (1) Secured Creditor namely **M/s. Yes Bank Limited** in relation to the Applicant Company as on 28.02.2019. The Secured Creditor has given "No Objection" to the Scheme of Arrangement is placed at page 56A -74 of the typed set filed as **Annexure-F** along with the Application.

8. There are 156 (One Hundred and Fifty Six) Sundry Creditors in relation to the Applicant Company as on 08.02.2019 and the Certificate issued to this effect by **M/s. MSS and Co.,** Chartered Accountants is placed at page 186 filed as **Annexure-I** along with the Application. Out of 156 (One Hundred and Fifty Six) Sundry Creditors, 52 (Fifty Two) Sundry Creditors have given their consent affidavits which are placed at page 75 to 180 of the typed set filed as **Annexure-G** with the Application. The value of the consenting Sundry Creditors constitutes 90.73% of the total amount of Rs. 7,18,50,887.72/-.

9. The Applicant Company has filed its Memorandum and Articles of Association which inter alia delineates its object clauses.

The Applicant Company has filed Supplementary Financial Statements of Company as on 28.02.2019.

10. The Board of Directors of the Applicant Company vide its meeting held on 31st December, 2018 has unanimously approved the proposed Scheme of Arrangement (Demerger) as contemplated above and copies of resolution passed thereon have been placed on record by the companies.

11. The Appointed date as specified in the Scheme is **31st March, 2018.**

12. The Statutory Auditor of the Applicant Company has examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.

13. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following

directions and issue of notices by way of paper publication as follows.

A) IN RELATION TO THE APPLICANT COMPANY:

i) With respect to Equity Shareholders:

Since it is represented by the Applicant Company that there are only 5 equity shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting of the Equity shareholders for the approval of the scheme is hereby ***dispensed with.***

ii) With respect to Secured Creditors:

Since it is represented by the Applicant Company that there is 1 Secured Creditor in the Company, the said secured Creditor has given "No Objection" for the Scheme of Arrangement which been obtained and placed on record; Hence, the necessity of convening and holding a meeting of the secured creditor does not arise. Accordingly, the meeting of the Secured Creditor is hereby allowed to be

dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

iii) **With respect to Unsecured Loan Creditors:**

Since it is represented by the Applicant Company that there are 156 Sundry Creditors in the Company, Out of 156 Sundry Creditors, 52 Sundry Creditors have given their consent by way of affidavits and the same is placed on record; the value of the consenting Sundry Creditors constitutes 90.73%, therefore, the necessity of convening and holding a meeting of the Sundry Creditors does not arise. Hence, the meeting of the Sundry Creditors is hereby allowed to be ***dispensed with*** under clause (9) of the Section 230 of the Companies Act, 2013.

14. Looking at the prayers made in the Application by the Applicant Company in relation to the Scheme of Arrangement, this Bench hereby directs in term of Clause (5) of Section 230 and Sub-section (3) of the Companies Act, 2013 the applicant Company shall individually send notices to the Regional Director concerned, Ministry of Corporate Affairs, ROC concerned, Income Tax

Authorities and such other sectoral regulators or authorities. In case the scheme is exempted under the Competition Act, 2002, an Affidavit to this effect is to be given, otherwise, notice to CCI may also be issued. Since the Applicant Company is a Private limited Company, there is no necessity to issue notices to SEBI and to the Stock Exchanges. The authorities are directed to make objections / representations, if any, within 30 days from the date of receipt of notice. In case no objection / representation are received within the stipulated time it shall be deemed that they do not have any objection.

15. The Applicant Company is directed to make separate publication of notices in newspapers one in English **Business Standard** (All India Edition) and another in vernacular **Makkal Kural** (All Edition) having wide circulation on or before 15.03.2021. The Applicant Company is directed to place the notice on their website, if any, and also place the same on the notice board at the registered office of the Applicant Company. The Applicant Company is also directed to send private notices to the authorities by way of

speed post and file proof of sending and effecting service of notices along with the paper publication by way of an Affidavit at the time of filing Petition(s). The Registry is also directed to display the notice on the notice board of the NCLT, Chennai.

16. Accordingly, this Company Application No. 1210/CAA/2019 is hereby **disposed of.**

17. The Petition(s) to be presented on or before **19.04.2021**

-sd-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-sd-
(R. SUCHARITHA)
MEMBER (JUDICIAL)

TJS